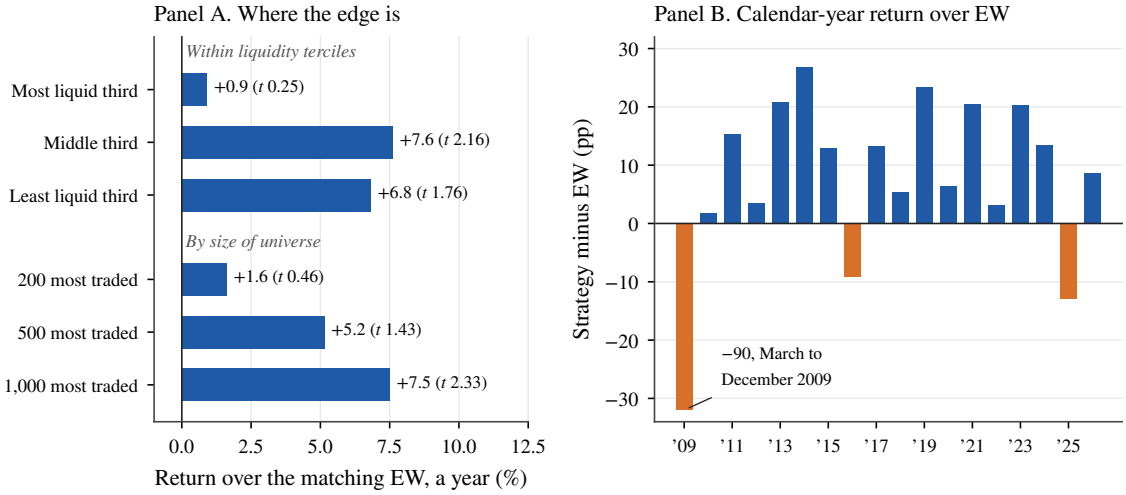
Panel A. Where the edge is
Within liquidity terciles
Most liquid third
+0.9 (t 0.25)
Middle third
+7.6 (t 2.16)
Least liquid third
+6.8 (t 1.76)
By size of universe
200 most traded
+1.6 (t 0.46)
500 most traded
+5.2 (t 1.43)
1,000 most traded
+7.5 (t 2.33)
0.0
2.5
5.0
7.5
10.0
12.5
Return over the matching EW, a year (%)
Panel B. Calendar-year return over EW
Strategy minus EW (pp)
30
20
10
0
−10
−20
−30
−90, March to
December 2009
'09
'11
'13
'15
'17
'19
'21
'23
'25